Assuming my information to be correct, we observe here an illuminating instance of cause and effect.

Short selling does become a wrong when and to the extent that the methods and intent of the short seller are wrong. The short seller who goes about like a raging lion (or "bear") seeking whom he may devour; he who deliberately smashes values by dint of manipulation or artificially intensified selling amounting in effect to manipulation, or by causing alarm through spreading untrue reports or unverified rumors of a disturbing character, does wrong and ought to be punished.

Perhaps the Stock Exchange authorities are not always alert enough and thorough enough in running down and punishing deliberate wreckers of values and spreaders of evil omen. Perhaps there is not enough energy and determination in dealing with the grave and dangerous evil of rumor mongering on the Stock Exchange and in brokers' offices. I need hardly add that the practices to which I have referred are quite as wrong and punishable when they aim at and are applied to the artificial boosting of prices as when the object is the artificial depression of prices.

But after all, as the present investigation shows, even Congress, with the machinery of almost unlimited power at its hand, does not always seem to find it quite easy to hunt the wicked rumor-mongers to their lairs and subject them to adequate punishment. Yet the unwarranted assailing of a man's good name is a more grievous and heinous offence than the assailing, by dint even of false reports, of the market prices of his possessions.

## Does the Public Get "Fleeced"?

*Question:*
*We hear or read from time to time about the public being fleeced. There is a good deal of smoke. Isn't there some fire?*